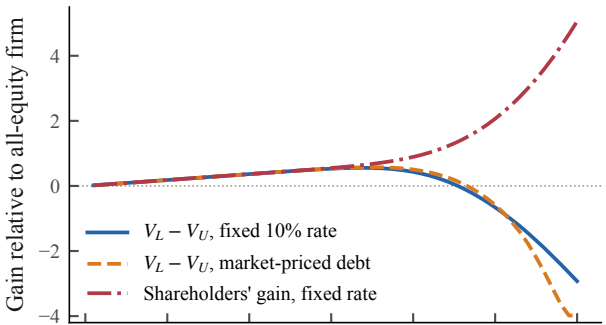
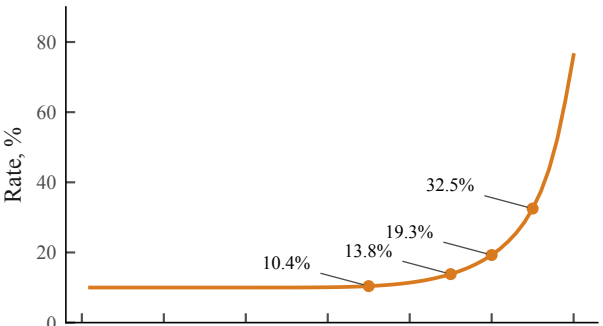

(a) Value gain under two pricing rules
Gain relative to all-equity firm
4
2
0
−2
−4
0
10
20
30
40
50
60
Debt raised D
$V_L - V_U$, fixed 10% rate
$V_L - V_U$, market-priced debt
Shareholders' gain, fixed rate


(b) Break-even borrowing rate
Rate, %
80
60
40
20
0
0
10
20
30
40
50
60
Debt raised D
10.4%
13.8%
19.3%
32.5%